



## Making predictions

Keeping clear, ongoing records over time will help you predict your expenditure and income. This is important to help you plan ahead for seasonal variations in trade, when sales may decline or costs rise. It can also help you forecast profit or loss projections—how much money your business may make or lose in the future—which is valuable for long-term planning. Accurate forecasts are essential if you are seeking external finance or presenting to potential investors.

Exactly how you keep records will depend on you and your business. However, there are many online tools available for little or no cost. The key thing is to choose a system that works and to stick with it. You need to maintain thorough records, especially if you take cash or electronic payments.

Keep receipts for all business costs and expenses. It is harder to look for missing items at the end of the tax year than it is to file them on a regular basis.

**82%**  
of businesses  
fail because of  
inconsistent  
or insufficient  
cash flow

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## VARIABLE COSTS

This cost fluctuates in line with business activities, although you can predict it. Examples include:



### Material costs

relate to how much of a product you make or sell, for example, the ingredients used in a food-related business.



### Hourly wages

for temporary staff may be at a set rate, but the number of hours will not. These will change according to your needs.



### Utilities

(gas, water, electricity) are partly fixed costs, since you have to use them. They are also variable, as cost varies according to how much you consume.



### Commission

to referral sites and third-party selling platforms can be a significant cost to online sellers. Some may even see it as a fixed cost.



## NEED TO KNOW

- › **Business costs** are those directly incurred in the running of a company, such as stationery, materials, and equipment.
- › **Prospective costs** are those that may occur in the future. These cannot be accounted for until they arise, but they can be predicted.
- › **Questionable costs** are those that can be fixed or variable. This includes utilities, as the business must have them, although the cost of using them varies.
- › **Depreciation** is the gradual decrease in the value of an asset owned by the business. It is a fixed cost, as it counts as a loss on a profit and loss statement.